Revision Date:
February 1, 2025

Background:
An underpayment occurs when an Assistance Unit (AU) receives less than the amount to which they are entitled in a given month.

Purpose:
The purpose of this section is to provide underpayment requirements. This material revision is for Sunset Date review. No policy or procedure changes have been made.

Policy:
Investigation of Underpayments

- When there is a reason to suspect that an underpayment may have occurred, staff is to investigate and determine whether an underpayment did, in fact, occur.
- Calculate the correct grant for each month in question; compare the correct grant to the amount actually paid to the AU for each month; and if the amount paid to the AU is less than the correct grant for that month, an underpayment exists.
- All reasonable steps necessary must be taken to promptly correct any underpayment.
- All underpayments must be corrected in accordance with the regulations in effect on the date of discovery.
- There is no minimum underpayment correction (amount) as long as there is eligibility.

Correction of the Underpayment

- Case review, recalculation, and correction of any underpayments will be completed as soon as possible and no later than the following deadlines:
  - The date of the next annual redetermination of eligibility or the date of termination, whichever is earlier, for all current customers.
  - Sixty days from the date aid is granted for reapplications and requests for restoration of aid.
  - Sixty days from the date of a request for review in all other cases.
- Underpayments are corrected through retroactive payments, based on CalWORKs Program Guide (CPG) 44-270 Semi-Annual Reporting (SAR) and CPG 44-260 Annual Reporting/Child Only (AR/CO) rules.
- If an AU has both an underpayment and an overpayment in the same benefit month, staff will offset one against the other before making a retroactive corrective payment.
- For purposes of continued eligibility and the grant computation, retroactive payments are not considered income or resource in the month of receipt or in the following month.
- Payments are to be issued to correct underpayments even when the AU is not currently aided (Edwards v. McMahon final court order).

Supplemental Payment

A supplemental payment is a payment issued to a customer for the current month when staff has recalculated the current month's cash grant as a result of a change in anticipated income, and determined the customer is eligible for a larger aid payment amount than what was previously issued

for the given month. A supplemental payment is not considered an underpayment, and as such, is not subject to adjustment for any overpayment.

A supplemental payment which was correctly computed will not be subjected to an overpayment determination, provided the customer's report upon which the county based its determination was complete and accurate. If there is a computational error, the supplemental payment will be corrected. Refer to the Voluntary Mid-Period Reporting section below for additional information.

Mandatory Inclusion

An underpayment may only be issued for months in which all technical conditions of eligibility are met. These are considered to have been met as of the date the mandatory person entered the AU, provided:

- The person is cooperating in meeting these conditions.
- The caretaker relative fulfilled their reporting responsibilities in making a timely and accurate report of the change in AU composition.

Example: If an additional person entered the home was not reported in a timely manner, no underpayment exists.

Grant Adjustment Due to SAR 7 Eligibility Status Report or SAWS 2 Plus Application for CalFresh, Cash Aid, and/or Medi-Cal/Health Care Programs

If information reported on the SAR 7/SAWS 2 Plus results in a grant increase, and staff cannot increase the grant by the first day of the month of the next payment period, a supplement must be issued for that month, and cash aid increased for the remaining months of that payment period. A supplement will be provided for the month the decrease in income is reported or the month the change actually occurs, whichever is later, after all verification has been provided.

Voluntary Mid-Period Reporting

A mid-period supplemental payment resulting from a voluntary mid-period report, which was correctly computed based on a recalculation of reasonably anticipated income and or other changed AU's circumstances, must not be considered an underpayment and cannot be used to offset ("balancing") an overpayment.

Erroneous Denial

Any underpayment which is due to the erroneous denial of an application for aid must be corrected even though the customer failed to perform an act constituting a condition of eligibility when such failure was caused by the denial. Acts include, but are not limited to, failing to furnish a social security number, failing to provide non-citizen sponsor information, failing to assign support rights, or failing to obtain unconditionally available income.

For the purpose of determining the beginning date of aid for correcting an underpayment which is due to the erroneous denial of an application, refer to CPG 44-300.C.

When Not to Establish an Underpayment

An underpayment does not occur in the following circumstances:

- Failure to apply for or request aid, including special needs such as the pregnancy special need.

- When a change in circumstances occurs or actual income received is less than what was reasonable anticipated during the payment period, and the AU did not voluntarily report the change in circumstances or the decrease of income during the payment period.
- Actual verified income must not be used to reconcile against prospectively budgeted income that was used in the benefit calculation - only income that was "reasonably anticipated" at the time benefits were initially calculated can be used.

Procedure:
None.

References:
Eligibility and Assistance Standards (EAS) 44-340, 44-350.
All County Information Notice (ACIN) No. I-72-19.

Sunset Date:
This policy will be reviewed for continuance by February 28, 2028.

Approval for Release:

2-14-25

Rick Wanne, Director
Self-Sufficiency Services